REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

INDEPENDENT AUDITOR'S REPORT

Honorable JOSE E. RELAMPAGOS
City Mayor
Panabo City

Report on the Financial Statements

We have audited the financial statements of the City Government of Panabo, which comprise the statement of financial position as at December 31, 2021, and the statement of financial performance, statement of changes in net assets/equity, statement of cash flows and statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

Qualified Opinion

In our opinion, except for the effects of the matter described in the Bases of Qualified Opinion section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the City Government of Panabo as at December 31, 2021, and its financial performance, its cash flows, and its comparison of budget and actual amounts for the year then ended in accordance with International Public Sector Accounting Standards (IPSAS).

Bases for Qualified Opinion

As discuss in Part II- Observations and Recommendation of this report, the reported balances of the accounts in the Financial Statements were not fairly presented due to accounting error/omission of **P 20,966,293.87**, to wit:

- Drugs and Medicines Inventory amounting P4,267,247.18 were not recorded at year-end due to the delayed preparation and submission of the reports on the receipts and issuances of COVID-19 vaccines;

- Inter-agency receivables were overstated by P1,100,000.00, owing to the non-adjustment of the utilized fund transfers amounting the same; and

- Forty-three (43) completed projects were not properly classified to their appropriate assets accounts upon completion resulted in non-provision of depreciation totaling P15,599,046.69 .

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSASs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing the LGU's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

COMMISSION ON AUDIT

By:

THELMA V. PULMA
State Auditor IV
Supervising Auditor

February 28, 2022